Delphic pronouncements about the course of monetary policy, and occasionally remonstrate with Parliament or the government about the course of fiscal policy, in our developing democracy the RBI Governor has to continuously make the case for the actions the central bank is taking, including the many structural reforms that are under way.

Indeed, communication is as much about educating as it is about informing. For instance, even as I explained to entrepreneurs and retail borrowers why interest rates were not falling faster, I had to use the price of dosas to explain to pensioners why they were actually better off earning lower nominal but higher real interest rates. Public understanding can help ease the way for reforms, as well as increase support for policies. The RBI Governor therefore has to explain again and again.

Occasionally, of course, the Governor has to warn about the dangers of certain courses of action or certain tendencies in the economy for growth and macroeconomic stability. Finally, the Governor is also a role model for the youth in this country, and should therefore not duck the responsibility to urge them to follow the highest standards of citizenship when he or she is invited to speak directly to them.

CONCLUSION

This is the last public speech I will give in India for a while – my successor has to take over the RBI's communication and I want to get out of his way. It has been an honour to work for the country and especially to talk to people like you, its future. Thanks for listening to me.

Postscript: I am not the RBI Governor any more. But the point in my speech is worth reiterating: there is a danger in keeping the position ill-defined, because the constant effort of the bureaucracy is to whittle down its power. This is not a recent phenomenon, as observers like T.C.A. Srinivasa-Raghavan have noted, but the RBI risks becoming dangerously weakened as successive